

The 12% Bond Trap

Why bonds aren't for your twenties

A bond's return isn't a reward. It's a price tag.

I heard a guy on a Tamil talk show say bonds are fixed income and give 12%. It sounded reasonable. I spent a weekend checking it, and what I found didn't match. So I wrote it all down, with the sources, so you can check it yourself instead of taking my word for it.

- 1 Bonds pay your money a salary. That's a good thing to own once your own salary has stopped. It does very little while your salary is still coming in.
- 2 The most a bond can pay you is written into the contract. So anyone offering more has only one way to do it: **be a borrower who might not pay you back.**
- 3 Age isn't really the point. What matters is **whether you've built a corpus yet**, and when you need the money.

THE SAFE NUMBER

6.85%

India's 10-year government bond, July 2026. The most you can earn and still be sure

TO GET 12% YOU LEND TO

BBB

the bottom of the investment grade list

SAFEST BOND, AFTER TAX AND INFLATION

+0.26%

ten years of sitting still

THIRTY-YEAR COST OF PLAYING SAFE

₹1.15 cr

on ₹10,000 a month, after tax

If you only read one page

Read this one. Everything on it comes back later with a source and the date it was true on.

- **The safest bond in India pays 6.85% a year.** That is the most you can earn while still being certain of getting your money back.
- **You cannot get 12% from a safe bond.** To reach 12% you have to lend to a BBB-rated company, which is the bottom of the investment grade list.
- **With shares there is no limit on the good outcome.** With a 12% bond, 12% is the best day you will ever have. The bad outcome on both is roughly the same.
- **DHFL held the top AAA rating in February 2019. By June it had stopped paying.** The banks got back about 33 paise on the rupee. Ordinary NCD holders got less than that.
- **Bond interest is taxed at your salary slab rate,** which is 31.2% if you are in the 30% bracket. Gains on shares held over a year are taxed at 12.5%.
- **After tax, the safest bond in India beats inflation by 0.26%.** Ten years of standing still.
- **₹10,000 a month for thirty years: ₹79 lakh in bonds, ₹1.94 crore in an index fund.** That is ₹1.15 crore for exactly the same discipline.

1 The way I think about it now

A bond harvests a corpus. Equity grows one.

At twenty-five I was standing in an empty field asking about harvest season.

Bond aruvadai. Equity vidhai. Vidhaikkaadha vayal la aruvadai pannalaama-nu namma paakkurom.

2 I'm not against bonds

I have money in an FD right now, and there is a reason for it. If you need a particular amount on a particular date, a bond or an FD is the right place for it whatever your age. A house deposit in 2028. A wedding next year. Six months of expenses in case something breaks. For somebody who has finished saving and now needs a monthly income, it is the right place too.

The mistake is buying one for a job you don't have yet. And then, once you've decided to buy one, reaching for the 12% version, which is the one that can actually lose your money.

01

What a bond is

Parts 1 and 2. The product, and the two people it was designed for. Neither of them is you at twenty-five.

02

The numbers

Parts 3 to 6. Where 12% comes from, what happened when one of these actually collapsed, what tax takes, and what the gap adds up to.

03

What to do

Parts 7 and 8. When I'd buy a bond, and five questions to run through before you buy one.

Every word and short form used here is explained in plain English on page 11. I didn't know most of them three years ago.

What you're buying when you buy a *bond*

This took me a while to get straight, and getting it straight changes the whole answer. So it's where I'll start.

1 You're a lender, not an owner

Buy a bond and you have lent money. Buy a share and you own a piece of a company. Everything else comes out of that one difference, including your ceiling.

	BOND: YOU ARE THE LENDER	SHARE: YOU ARE AN OWNER
What you get	A fixed % every year, then your money back on a fixed date	A share of whatever the business earns. No promise, no date
Best case	Exactly the coupon. Not one rupee more. The contract caps it	No ceiling. A good decade, a good business, and it keeps going
Worst case	The borrower fails and you get back a fraction, or nothing	The business fails and the shares go to zero
If it collapses	You're ahead of the shareholders, behind the banks	You're last in the queue
What it's built to do	Make an income from a corpus	Build a corpus

2 So what does it actually do?

You give a bond a lump sum. It pays you a fixed amount every year, and at the end it gives the lump sum back. Nothing grows. It takes a pile of money and turns it into a monthly income.

₹1 crore a corpus you already built	6.85% bond India's 10-year government bond	₹6.85 lakh every year, without touching the corpus
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WHAT I MISSED THE FIRST TIME

Look at what the machine needs to run. A corpus.

It doesn't make one and it doesn't grow one. It takes one and pays you a wage out of it. If you don't have the corpus, there is nothing for it to work with, and what you've actually bought is a second salary on top of the one you already earn.

Bond oda velai unga panatha valarkkaradhu illa. Bond oda velai unga panathukku salary kudukkuradhu.

3 Two words that get mixed up constantly

Coupon: the promise The fixed % printed on the bond. What it says it will pay you every year. This is the number a sales pitch quotes at you.	Yield: what you actually get What the bond earns you at today's price. If a bond's yield is far above the government's, that is the market saying out loud that it doubts the promise.
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Same product. Opposite jobs.

Here is the same bond, looked at from two different lives.

	RETIRED, AGE 62	YOU, AGE 25
Corpus	Built the saving part is over	Not there yet this is the whole job
Salary	Stopped nothing coming in	Coming in and going up
Time to sit out a bad five years	None	Another thirty
What a 30% fall does	Makes it permanent, because they are withdrawing while it falls	Helps, because you keep buying while it falls
What they need	A monthly income they can rely on	Growth
So	A bond does exactly this job	A bond solves a problem you don't have

THE WAY I REMEMBER IT

A bond harvests a corpus. Equity grows one.

Harvest season matters. It just comes after the sowing. Buying bonds at twenty-five is walking into a field where nothing has been planted and asking where the crop is.

Namma kitta salary irukku. Aana corpus dhaan illa.

1 Why “bonds are for old people” isn’t quite right

It's a decent shortcut and it's mostly true. It falls apart the moment somebody argues back, though, because age is standing in for two other things.

01

Have you built a corpus?

If you haven't, your job is to build one, and a bond can't do that. It isn't what it's for. A thirty-year-old who inherited ₹5 crore and stopped working has the corpus and needs the income. Bonds make sense for them at thirty.

02

When do you need the money?

If it's inside about three years, bonds and FDs are right, at any age. A twenty-four-year-old saving for a wedding next April should not have that money in shares. The date decides it, not the birthday.

WHAT I'D SAY INSTEAD

It isn't your age. It's whether you have a corpus, and when you need the money.

Most people in their twenties have no corpus and nothing they need the money for soon. That's the actual reason bonds are wrong for them, and unlike the age version, it holds up in an argument.

Where does 12% *come from*?

Not from picking well, and not from a clever deal. There is really only one place a bigger number can come from.

1 Start with the safe number

The government’s 10-year bond is the safest place to put rupees, because the government can always pay you back in rupees it prints. In July 2026 it paid 6.85%. Write that down. Everything else in this guide gets measured against it.

WHERE RATES WERE, AUGUST 2026	RATE	WHAT IT TELLS YOU
India 10-year government bond the safe number	6.85%	The most you can earn with no chance of not being paid
RBI repo rate	5.25%	The base setting for every other rate in the country
12-month bank certificate of deposit	7.10%	What banks are paying for short-term money right now
Inflation (CPI)	4.45%	What your return has to clear just to stand still

2 What the extra points buy

A bond’s return is fixed in the contract. Nobody can make it bigger by being smarter about it. The only way to offer you more is to be a borrower who is more likely to miss a payment. A credit rating is an attempt to put a number on exactly that.

RATING	PAYS TODAY	ABOVE THE SAFE NUMBER	WHAT IT MEANS
AAA	7.0 to 8.3%	0.1 to 1.4%	The safest company bonds, usually government-owned lenders
AA	8.0 to 9.5%	1.0 to 2.6%	Still safe. I treat this grade as the floor
A	9.5 to 11.5%	2.6 to 4.6%	Fine on paper, but you’re now being paid to be nervous
BBB	11.5 to 13%+	4.6 to 6.4%+	This is where 12% lives. Bottom of the investment grade list, one step above junk

Indicative ranges, second quarter of 2026. Every step down the rating scale adds roughly 1 to 2 percentage points.

THE BIT THAT CHANGED MY MIND

12% isn’t a better bond. It’s the same product from a borrower the market trusts a lot less.

Those five extra points aren’t a reward for shopping around. Somebody sat down, worked out a risk, put a price on it and handed it to you. The pitch will present that number as generosity. It’s arithmetic.

What the ratings actually *got right*

CRISIL publishes how often each grade stopped paying. I've put the last column in counts out of 100, because the percentages didn't land for me the first time I read them.

RATING	STOPPED PAYING WITHIN 1 YEAR	WITHIN 3 YEARS	OUT OF 100 COMPANIES, IN THREE YEARS
AAA	0.00%	0.00%	None
AA	0.05%	0.29%	Under 1
A	0.07%	0.66%	Under 1
BBB	0.46%	2.21%	2
BB	2.86%	9.92%	10
B	8.40%	25.76%	26
C	24.98%	52.83%	53

CRISIL Ratings Annual Default and Rating Transition Study, up to fiscal 2025. Average cumulative default rates, monthly static pools, FY15 to FY25. "Stopped paying" means a payment was missed. It does not mean the price fell.

1 What finally settled it for me

DOWNSIDE OPEN, UPSIDE BOLTED SHUT

With shares you take a risk and nobody has capped the good outcome.
With a 12% bond you take a similar risk, and 12% is the best day you will ever have.

That is the worst shape a deal can have, and it is the shape being sold as high-return fixed income. If I'm going to carry equity-level risk, I would rather be paid like an owner than like a lender with a ceiling over his head.

Keela vizhradhukku limit illa. Mela poradhukku limit irukku.

2 Two things to keep in mind about that table

The company pays for its own rating That's the standard model everywhere, and it isn't a scandal. It does mean a rating is an opinion from a business with a client relationship, so I treat it as one input rather than a verdict.	It only describes today These numbers cover companies holding a grade on a particular date. A grade can fall six steps in a hundred days, which is what Part 4 is about. The table tells you about the crowd, not about your bond next year.
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DHFL: rated **AAA** in February. In default by June.

This wasn't some small company nobody had heard of. DHFL was one of the biggest housing finance companies in India, and it held the country's top rating four months before the payments stopped.

Until 3 Feb 2019	AAA	Top safety grade. Ordinary savers are holding its NCDs and fixed deposits because of that grade.
3 February 2019	AA+	CARE Ratings takes it down one step. The share price starts sliding.
14 May 2019	BBB-	Now at the very bottom of investment grade. Six steps down in roughly a hundred days.
June 2019	D	CRISIL, ICRA and CARE all mark it "D", meaning default. The short-term paper goes first, then the debentures. The payments simply stop.

1 What the lenders got back

WHO THEY WERE	GOT BACK	IN WHAT FORM
Banks financial creditors	About 33 paise per rupee	Cash, spread over five years, under the rescue plan the court approved
Retail NCD and FD holders	Less than that	Part cash, plus 20-year bonds paying a 1% coupon in place of their secured NCDs

The reason for the difference is structural. Banks dominate the committee that votes on a rescue plan. Retail holders have a seat at the table; the banks have the votes.

2 Three things I took from this

1 A rating tells you about today.

It's what an agency believes right now. It isn't a promise about next year, and it can fall six steps in a hundred days. Useful information. Not a guarantee.

2 "Secured" protected people less than they expected.

People who had specifically bought the secured NCDs still had them swapped for unsecured paper. Secured means you stand earlier in the queue. It doesn't mean there is money left when you reach the front.

3 Shares fall in public. Bonds fall in silence.

You can watch a share price every day and do something about it. A bond looks completely fine right up to the day the money doesn't arrive. That silence is what the extra five points are paying you to carry.

The part I hadn't thought about at *all*

Most 12% pitches compare their number before tax with equity's number after tax. Fix only that, and a good part of the gap moves the other way.

	BOND INTEREST	SHARES HELD OVER A YEAR
Tax rate	Your income slab plus 4% cess, so 31.2% in the 30% bracket	A flat 12.5% on long-term gains
Yearly exemption	None. Taxed from the first rupee	First ₹1.25 lakh of gains is free
When you pay	Every year , whether or not you needed the money	Only when you sell . Until then it compounds untaxed
Tax cut at source	10% once interest from one issuer crosses ₹10,000 a year	None on gains
Unlisted bonds	Slab rate however long you hold them	—

Rules as they stand for FY 2026-27. That third row is the one that quietly compounds, and I have never once seen it in a sales pitch.

1 What that does to the actual return

For somebody in the 30% slab, with inflation at 4.45%:

WHAT YOU BOUGHT	ON PAPER	AFTER TAX	AFTER INFLATION, WHAT'S LEFT
10-year government bond at 6.85%	6.85%	4.71%	+0.26%
AAA company bond at 8.0%	8.00%	5.50%	+1.05%
BBB "12% fixed income"	12.00%	8.26%	+3.81% †
Index fund at 10.57%	10.57%	9.25%	+4.80%

† And you only get that 3.81% if it pays. At BBB, 2 in 100 don't within three years. At BB it's 10 in 100. The 10.57% is a real number, not a projection: it's the actual NAV of an index fund from April 2006 to August 2026, with dividends counted and fees already taken out.

WHAT THIS MEANS

After tax, the safest bond in India beats inflation by 0.26%.

Round that off and it's zero. The money sat there for ten years, paid tax every single year, and came out able to buy the same amount of stuff. I don't think that counts as safe. It's just still.

A SHORTCUT I USE NOW

Before comparing any bond to anything, multiply its rate by 0.688 if you're in the 30% slab, or 0.792 if you're in the 20%. That's the real number. A 9% "safe bond" is a 6.2% bond, and inflation is 4.45%.

What playing safe costs over *thirty years*

After tax, bonds compound at 4.71% and an index fund at 9.25%. Four and a half points doesn't sound like much. Run it for thirty years and it is.

EVERY MONTH	FOR	BONDS AT 4.71%	INDEX AT 9.25%	WHAT SAFE COST YOU
₹10,000	20 years	₹40 lakh	₹70 lakh	₹30 lakh
₹10,000	25 years	₹57 lakh	₹1.18 crore	₹61 lakh
₹10,000	30 years	₹79 lakh	₹1.94 crore	₹1.15 crore
₹20,000	25 years	₹1.15 crore	₹2.36 crore	₹1.21 crore
₹20,000	30 years	₹1.58 crore	₹3.89 crore	₹2.30 crore

Monthly investing, compounded monthly, at the after-tax rates from Part 5. Nothing here assumes you picked well or timed anything. Both columns are plain index-level returns.

THE ONE NUMBER I'D REMEMBER

₹10,000 a month from twenty-five to fifty-five.

₹79 lakh if you played it safe. ₹1.94 crore if you didn't need to.

Same money going in. Same discipline. Thirty years of showing up every month. The only thing that changed was where it went.

1 Why a small gap turns into a big one

You aren't comparing 4.71% and 9.25% once. You're comparing them 360 times, each one sitting on top of the last. Every month's small difference gets reinvested and then compounds for however many years are left. Which is why doubling the time from fifteen years to thirty doesn't double the gap. It multiplies it.

It also means the cost lands hardest at the start. The money you put in at twenty-five has thirty years of compounding still ahead of it, so that's the most expensive money to park in the wrong place. If the plan is "I'll move to equity once I understand it better", this is the part that quietly charges you for the wait.

WHERE THIS COULD GO WRONG

9.25% is not a promise and I'm not going to pretend it is. Over the same twenty years of real fund data, only **52 out of 100** five-year stretches reached 12% a year, and the worst one *lost* 1.6% a year. Equity doesn't remove risk. What it does is put time on your side, and time is the one thing a twenty-five-year-old has more of than a sixty-five-year-old.

Bonds aren't the villain. They're a *tool with a job*.

If this guide only said “avoid bonds” it would be doing the same thing I’m complaining about. So here’s the rule I use.

THE RULE

Match the money to its date, not to your age.

Every rupee you have is for something, and that something has a date. The date picks the instrument. It works at twenty-four and at seventy-four, and you never have to update it.

WHEN YOU NEED IT	WHERE IT BELONGS	WHY
Any time. Emergency	Savings, liquid fund, bank FD	You can't schedule an emergency. This money is there to be certain, not to earn. Six months of expenses.
Under 3 years	FD, high-grade bonds, short-duration debt	Shares have lost money over three-year stretches, and you can't sit out a fall you don't have time for. True at any age.
3 to 7 years	A mix, with more debt the closer you get	Long enough to take some risk, short enough that a bad final year really hurts. Move towards debt as the date comes up.
Over 7 years	Equity, mostly index funds	Time is on your side now. A fall becomes something you buy through instead of something that damages you.
Living off it now	Bonds, annuities, a withdrawal plan from a conservative mix	The corpus is built. The job has changed from growing it to living off it. This is bonds doing what they're for.

1 Four times a bond is the right call in your twenties

- **Your emergency fund.** Six months of expenses, boring on purpose, in your hands within a day. Trying to earn a return on this money is missing what it's for.
- **A house deposit you're paying in 2028.** The date isn't negotiable. A 20% fall three months before you need it isn't volatility. It's a plan that didn't happen.
- **A wedding, a course fee, a move you've already committed to.** Known amount, known date, no room to wait it out.
- **Money you know you can't watch fall.** If a 30% drop would make you sell everything and stay out for five years, a portfolio you can actually hold beats a better one you'll abandon. Worth being straight with yourself about this one.

AND THE ONE PLACE THE 12% VERSION FITS

Nowhere on that list. Every good reason to own a bond in your twenties is about being certain, and the 12% bond is the one that traded the certainty away. If you want the return, own the business. If you want the certainty, buy the safest thing and take the small number. The risky bond gets you neither, which is the trap in the title of this guide.

Before you buy *any* bond

Five questions, in this order. If a pitch fails one of them you can stop there.

1 What does the 10-year government bond pay today?

Search “India 10 year G-Sec yield”. Today it’s about 6.85%. Write it down. That’s the return you can get without taking any chance of not being paid.

2 Subtract. How big is the gap?

The bond’s rate minus that number is how much risk the market thinks is in it. Under 1.5 points, you’re in safe territory. Over 4 points, you’re being paid to accept a real chance of not being repaid.

3 What’s the rating, and who gave it?

Look for this before you look at the return. AAA or AA, fine. Below AA, stop calling it fixed income and size it like equity. Unrated, walk away. And if the pitch doesn’t mention the rating at all, that silence is the answer.

4 What’s the number after tax?

Multiply by 0.688 in the 30% slab, or 0.792 in the 20%. Compare that against 4.45% inflation and against what an index fund has actually done after tax. Never compare a before-tax bond with an after-tax anything.

5 What date is this money for?

Last question and the one that matters most. Inside three years, or already living off your corpus, and a high-grade bond is right. Seven years or more away with no corpus built, and you’re buying a salary machine when what you needed was a seed.

2 Where to look each of these up

WHAT YOU NEED	WHERE TO FIND IT, FREE	WHAT GOOD LOOKS LIKE
The safe number	Search “India 10 year G-Sec yield”. RBI, CCIL and the financial dailies all publish it daily	One number, updated today
The rating	The rating agency’s own site. CRISIL, ICRA, CARE and India Ratings publish the rationales free	A current rating with a dated write-up. Not “AA-equivalent”, and not last year’s
Your after-tax number	Your own calculator. Rate times 0.688 in the 30% slab, times 0.792 in the 20%	A number you can hold up against 4.45% inflation without flinching

FOUR LINES THAT SHOULD END THE CONVERSATION

- **“Guaranteed 12% returns.”** Only the Government of India guarantees rupee returns, and it pays 6.85%.
- **“It’s fixed income, so it’s safe.”** “Fixed” describes the payment schedule. It says nothing about whether the payment turns up.
- **“Better than FD returns.”** Higher than an FD means riskier than an FD. That’s arithmetic, not salesmanship.
- **“Bonds are safer than equity.”** High-grade bonds over short periods, yes. A BBB bond over ten years is not safer than an index fund. It’s just quieter about it.

THE QUESTION I ASK FIRST NOW

If somebody will pay me 12%, the first thing to ask isn’t how much. It’s why me?

Companies with clean balance sheets borrow from banks, cheaply. If a borrower has come to people like us offering 12%, somebody with far better information has usually already said no, or asked for more.

Every word in here, *explained*

None of this needs a finance degree. I didn't know most of these words three years ago. One line each, with how I'd say it in Thanglish underneath.

Bond

You lend money to a government or a company. They pay a fixed % each year and give your money back on a fixed date. You're a lender, not an owner.

Namma kadan kudukkurom.

Equity / share

You own a slice of a business. No fixed return and no fixed date. You get what's left after everyone else is paid, and there's no ceiling on it.

Namma andha company la oru chinna owner.

G-Sec

Government Security

A bond issued by the Government of India. The safest place to put rupees, because the government can print them.

Idhukku mela safe-a onnum kidaiyaadhu.

NCD

Non-Convertible Debenture

A bond a company sells straight to the public. "Non-convertible" means it can never become shares, so interest and capital is all you ever get. This is what DHFL sold to ordinary savers.

Company bond. Share-a maara mudiyaadhu.

FD

Fixed Deposit

Money parked at a fixed rate. Bank FDs are insured up to ₹5 lakh per bank. Company FDs aren't insured at all.

Company FD ku insurance kidaiyaadhu.

CD

Certificate of Deposit

A short-term deposit banks issue to big investors, usually 3 to 12 months. Handy as a signal of what banks will pay for short-term money.

CP

Commercial Paper

A company's very short-term borrowing, usually under a year. First thing to break in a crisis. DHFL's CP was marked default before anything else.

Coupon

The fixed % printed on the bond, which is what it promises to pay each year.

Bond promise panra vaddi.

Yield

What the bond actually earns you at today's price. Coupon is the promise. Yield is what's real.

Unmaiya kedaikkura percent.

Spread

The gap between a bond's yield and the government bond's yield. That gap is the whole price of the risk.

Andha vithyaasam dhaan risk oda vilai.

bps

basis points

1 bps is 0.01%, so 100 bps is 1%. "Yields rose 17 bps" means they went up by 0.17%.

Nooru bps-naa oru percent.

Repo rate

The rate the RBI lends to banks at. The base setting for every other rate in the country.

RBI banks-ku kudukkura vaddi.

CPI

Consumer Price Index

The official inflation number. How much more a household's monthly shopping costs than it did a year ago.

Real return

Your return after taking inflation out. 6% with 5% inflation is a 1% real return, so you barely got richer.

Inflation poga meedhi ethana percent.

Credit rating

An agency's letter grade for how likely a borrower is to pay you back. An opinion, not a guarantee, and it describes today rather than next year.

Idhu oru opinion. Guarantee illa.

Investment grade

AAA down to BBB. Plenty of institutions are only allowed to buy inside this band. Below it (BB, B, C) the polite name is "high yield" and the honest name is junk.

Downgrade

The agency drops the grade. The bond's market price falls straight away, so even if you don't sell, you've already lost.

Rating korainja, price odane keela poidum.

Default

The borrower missed a payment. Not "the price fell". The money didn't come.

Panam varala. Adhu dhaan default.

CDR

Cumulative Default Rate

Out of 100 companies at a grade, how many stopped paying within a given number of years.

Nooru la ethana per katta mudiyaama poidraanga.

Static pool

The method behind those numbers. Freeze the list of companies at a grade on one date, then count how many defaulted over the next one and three years. Stops an agency flattering itself by quietly dropping the bad ones.

Slab rate

Your income tax bracket. Bond interest is added to your salary and taxed at this rate.

Salary oda serthu tax pidippaanga.

Cess

An extra 4% charged on the tax itself, so 30% tax actually costs 31.2%.

LTCG

Long-Term Capital Gain

Profit on something held over 12 months. Taxed at a flat 12.5%, and for shares the first ₹1.25 lakh a year is free.

Mudhal ₹1.25 lakh ku tax illa.

TDS

Tax Deducted at Source

Tax cut before the money reaches you. On bonds, 10% once interest from one issuer crosses ₹10,000 a year.

Corpus

The total pot you've built up. A bond pays interest on a corpus. It doesn't build one.

Bond corpus-a periyadha aakkaadhu.

SIP

Systematic Investment Plan

Putting in a fixed amount automatically every month.

NAV

Net Asset Value

A mutual fund's per-unit price. Fees are already taken out of it, so NAV growth is what a real person actually earned.

HFC / NBFC

Housing Finance Company and Non-Banking Financial Company. They lend like banks but can't take ordinary deposits and have no RBI deposit insurance. They fund themselves by selling bonds and CP to the public, which is why they break first when money gets tight. DHFL was an HFC.

Bank maadhiri kadan kudukkum, aana bank illa.

IBC / NCLT

The 2016 bankruptcy law, and the tribunal that runs the process. Between them they decide who gets paid, and in what order, when a company collapses.

Committee of Creditors

The lenders' committee that votes on a rescue deal. Banks dominate it, which is why retail bondholders usually get back less.

Bank-gaL dhaan vote pannuvaanga.

Recovery rate

How many paise per rupee you actually get back after a default. DHFL's banks got about 33.

Secured vs unsecured

Secured means specific assets are backing it and you stand earlier in the queue. Unsecured means neither. DHFL showed that secured is a queue position, not a shield.

Where every number here *came from*

Bonds aren't the mistake. Buying them for a job you don't have yet is.

It isn't about your age. It's whether you have a corpus, and when you need the money.

Follow @buildwithabinash — let's learn the smart way.

10-year G-Sec at 6.85% (July 2026), and certificate-of-deposit rates: Business Today, "10 year G Sec yield climbs to 6.85% in July", 5 August 2026.

Company bond yields and spreads by rating grade (Q2 2026): BondScanner, "Corporate Bond Interest Rates India 2026: Rates by Rating and Sector".

Default rates by rating grade: CRISIL Ratings, *Annual Default and Rating Transition Study, up to fiscal 2025*. Average cumulative default rates, monthly static pools, FY15 to FY25.

DHFL rating timeline (AAA in February 2019 to D in June 2019): Business Standard, "DHFL crisis: How the housing finance giant's fortunes took a downward turn", 6 June 2019. **Bank recovery of about 33%:** Business Standard, 17 January 2021. **Secured NCDs replaced with 20-year 1%-coupon unsecured bonds:** Moneylife.

Bond and equity taxation for FY 2026-27: BondLab India, "How Bonds Are Taxed in India". Section 112A exemption. Finance (No. 2) Act 2024 on unlisted bonds.

Inflation of 4.45% (July 2026): CNBC, 12 August 2026. **RBI repo rate held at 5.25% (August 2026):** FXStreet, 13 August 2026.

The 10.57% equity return, and the 52-out-of-100 and -1.6% figures: my own working from the actual UTI Nifty 50 Index Fund investor NAV, April 2006 to August 2026. Dividends counted, fees already taken out, every possible holding period tested.

How the projections were built: monthly investing, compounded monthly, at the after-tax rates in Part 5 (bonds 4.71%, equity 9.25%). No market timing, no stock picking and no leverage anywhere.

Disclaimer. This is general educational information for individual investors in India, put together in August 2026. It isn't investment advice and it isn't a recommendation to buy or avoid any particular bond, fund or company. It knows nothing about your income, your goals, what you already own, or how much of a loss you could take.

Yields, tax rules, inflation and credit ratings all change, sometimes very fast, as Part 4 shows. Every figure here carries the date it was true on, so please check the current numbers before you act on any of it. Past returns, including the twenty years of fund data used here, don't predict future ones. Equity can and does lose money over several years at a stretch. Bonds can and do default.

For anything that really matters, talk to a SEBI-registered investment adviser who can see your whole situation. I'm not a registered adviser, and I hold no position in anything named in this guide.

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